Is this market rebound real?

Who is actually leading the October bounce in Indian stocks: large, mid or small companies?

A small data study of 7 NSE indices

Data window	**20 Oct 2025 to 16 Oct 2026**
Comparison window	**16 Jul to 16 Oct 2026**
Rebound window	**8 Oct to 16 Oct 2026**

By Akshay Jantwal

Built in Excel from NSE index data

Since the 8 Oct low

Rebound window: closing price on 8 Oct (lowest Nifty 50 close) vs 16 Oct 2026

+4.1%

Nifty 50

Large caps

22,231.80 to 23,146.15

+2.2%

Midcap 100

Mid caps

57,882.50 to 59,129.75

+0.4%

Smallcap 100

Small caps

19,050.10 to 19,129.80

+15.1%

IT

IT sector

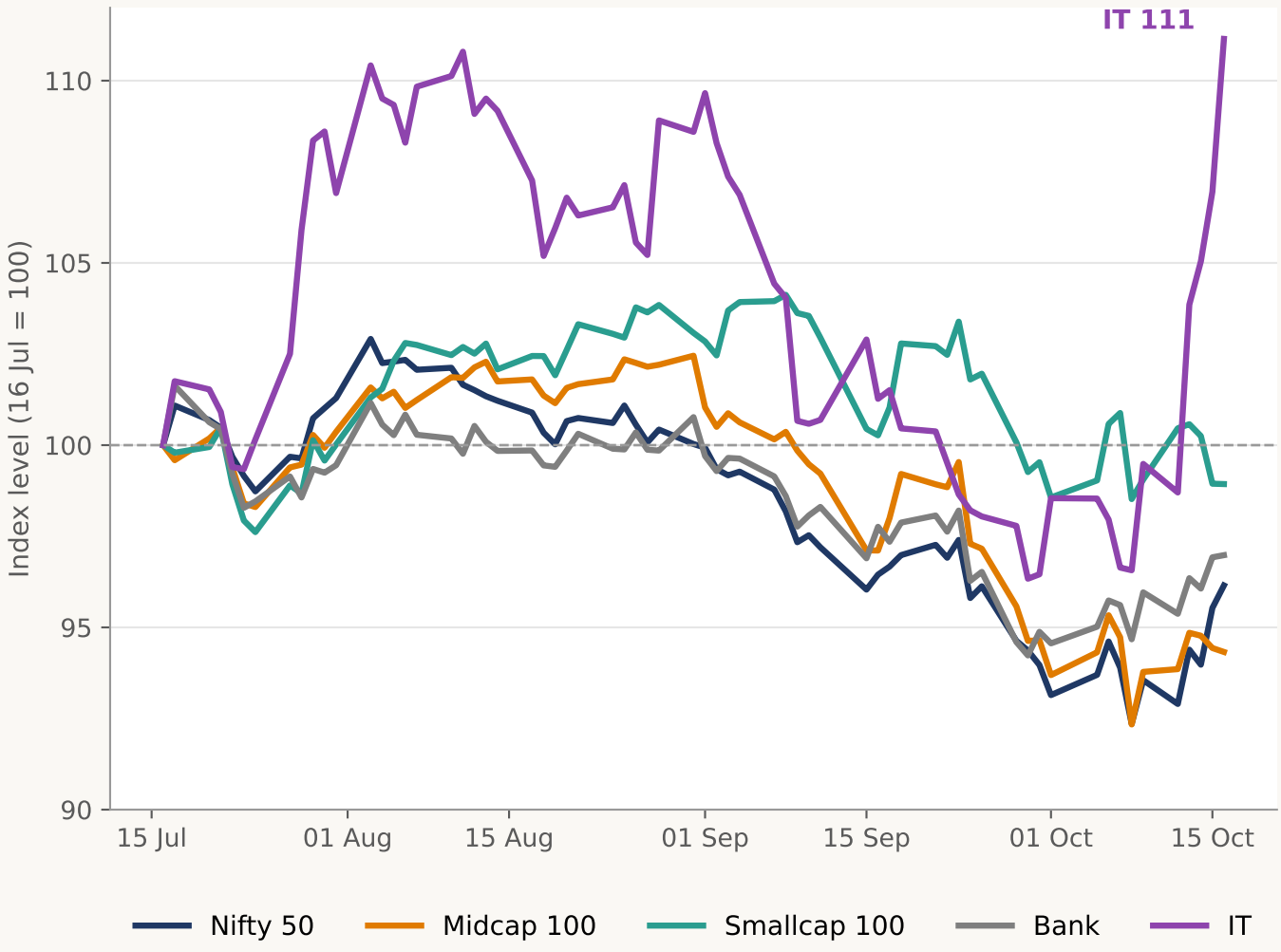
27,736.60 to 31,924.10

The rebound is uneven: large caps lead mid and small caps, and IT leads them all.

Source: NSE index data. Own calculations in Excel.

Index levels vs 16 Jul

Rebased to 100 at the 16 Jul 2026 close (Nifty 50 = 24,072.75)



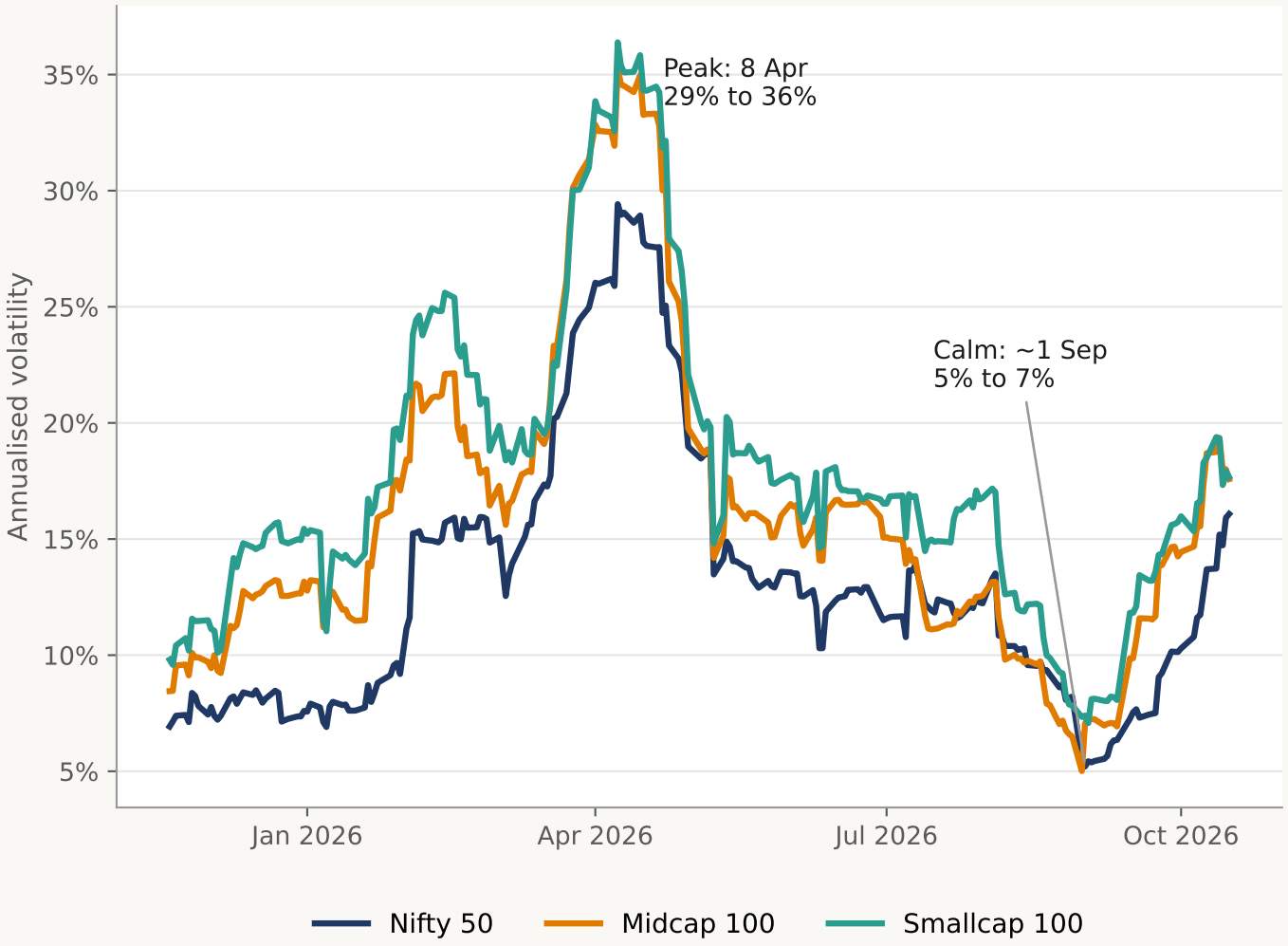
Only Nifty IT ended above its 16 Jul level (111 vs 100).

The Nifty 50 ended at 96, Midcap at 94.

Source: NSE index data. Own calculations in Excel.

The market is bumpier again

20-day rolling volatility, annualised. Full data window shown (Nov 2025 to Oct 2026)

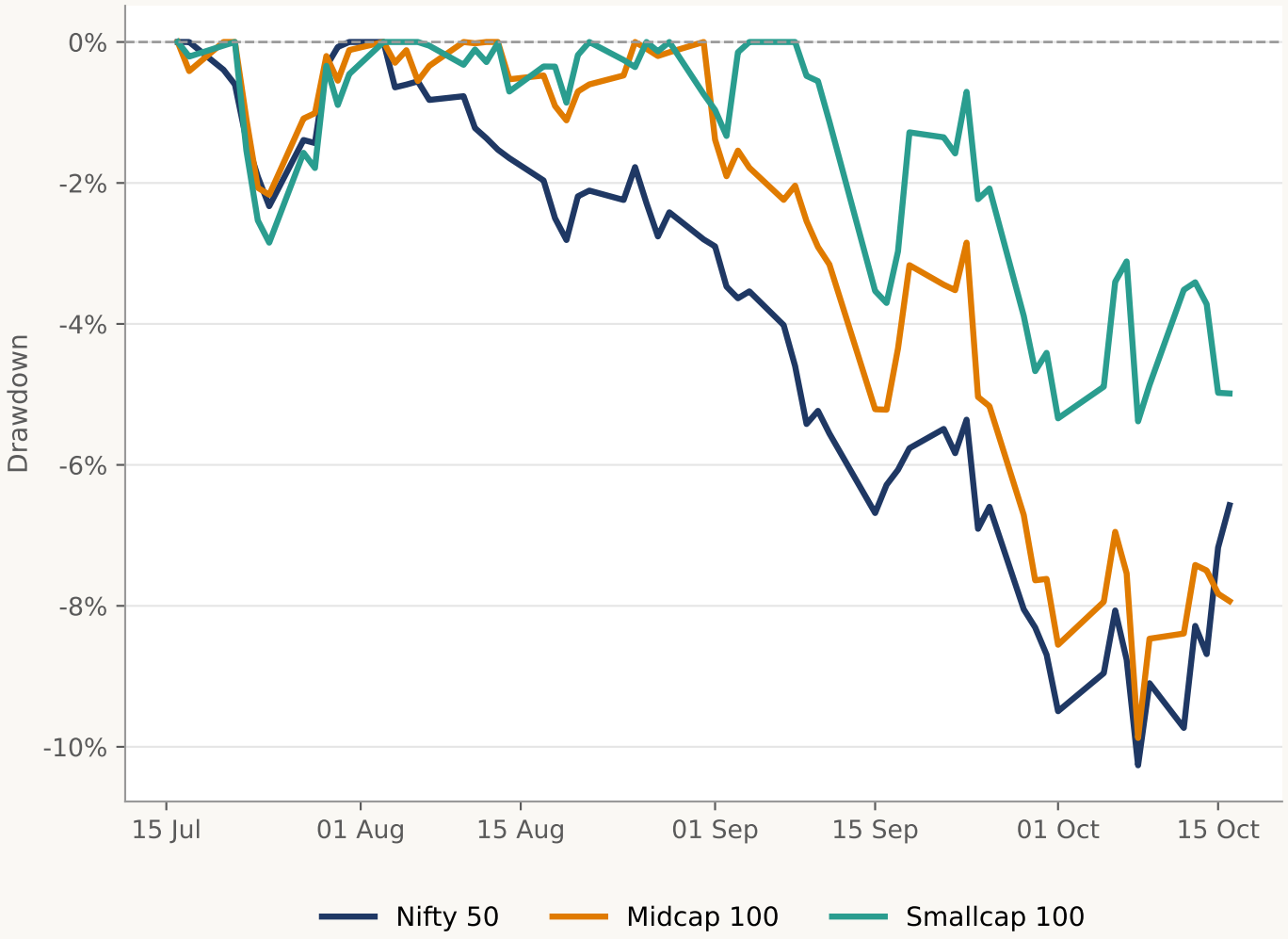


From about 5% in early September back to 16% to 18% now. Still about half of April's peak.

Source: NSE index data. Own calculations in Excel.

How far below the peak

Drawdown = fall from the running peak. Comparison window: 16 Jul to 16 Oct 2026



All three hit their lows on 8 Oct (Nifty 50 −10.3%). Since then the drawdown narrowed by 3.7 percentage points for Nifty 50, 1.9 for Midcap and 0.4 for Smallcap.

These are changes in drawdown (percentage points), not price returns.

Source: NSE index data. Own calculations in Excel.

What the data suggests

An uneven rebound

Large caps lead: Nifty 50 +4.1% vs Midcap +2.2% and Smallcap +0.4% since 8 Oct. IT leads them all at +15.1%.

But a mixed picture

Over 63 trading days (about 3 months) small caps held up better: Smallcap 100 −0.9% vs Nifty 50 −4.9%.

Handle with care

The rebound window is only 6 trading days, and I had no stock-level data to test breadth directly.

The evidence suggests an uneven rebound led by large caps and IT. It does not prove it.

Source: NSE index data. Own calculations in Excel.

The numbers

All figures calculated in Excel from NSE closing values

Index	Rebound	3 months	Volatility	Max drawdown
Nifty 50	+4.1%	−4.9%	11.5%	−10.3%
Midcap 100	+2.2%	−5.3%	12.7%	−9.9%
Smallcap 100	+0.4%	−0.9%	13.7%	−5.4%
Bank	+2.4%	−4.6%	12.0%	−7.3%
IT	+15.1%	+9.2%	25.7%	−13.1%
FMCG	+1.6%	−8.5%	15.6%	−12.4%
Auto	+5.1%	−4.9%	17.0%	−17.3%

Rebound: closing price on 8 Oct to 16 Oct 2026.

3 months: 63 trading days to 16 Oct (base: 17 Jul close).

Volatility: annualised standard deviation of daily returns, 16 Jul to 16 Oct.

Max drawdown: worst fall from the running peak, 16 Jul to 16 Oct.

Note: the volatility chart (slide 4) is a 20-day rolling measure, so its latest value differs from this window figure.

Source: NSE index data. Own calculations in Excel.

How to reproduce it

Definitions and formulas, so anyone can check the work

- **Return**

  Close(end) ÷ Close(start) − 1. Rebound: 8 Oct to 16 Oct 2026.

- **Benchmark (rebased)**

  Close ÷ Close on 16 Jul 2026 × 100. Nifty 50 base = 24,072.75.

- **Volatility**

  Standard deviation of daily returns × √252 (252 trading days a year). Daily return = Close(today) ÷ Close(yesterday) − 1.

- **Drawdown**

  Close ÷ highest close since 16 Jul − 1. Max drawdown is its lowest value.

- **Gap between indices**

  One index's return minus another's, in percentage points. A gap above 2 points counts as clear.

Data: NSE daily closes, price-return indices (no dividends), 246 trading days. Excel tools: SUMIFS, INDEX/MATCH, STDEV, running MAX.

Do you think this rebound can broaden out? Tell me in the comments.

Educational only, not investment advice.